

CMPX pitch deck

The Read was permission-blocked, but everything needed is in the court record itself — the deck follows below. One process note first: I have no shell access in this session, so the closing dashboard/ledger step (ledger upsert, entry_plan, scanner re-run) could not be executed here — the machine fence at the bottom is the auto-arm payload; the ledger update is pending.

PITCH — CMPX — PROPOSED VERDICT (one line)

PROPOSED — PENDING ADJUDICATION: NO POSITION, NO ORDERS. Both benches independently reached “do not buy.” Re-examine only at the ESMO data (~Oct 24, 2026) or a BLA filing; if no filing happens by Dec 31, 2026, treat the thesis as dead.

What we believe

Compass Therapeutics (\$2.15) is a Boston clinical-stage biotech whose lead drug, tovecimig, hit its main goal in a randomized trial in second-line biliary tract cancer: response rate 18% (statistically significant vs. paclitaxel alone) and progression-free survival about 2.1 months better. But the headline survival comparison across all enrolled patients showed no benefit (hazard ratio 1.05) — and 54% of the control patients crossed over to receive tovecimig after progressing, which muddies that comparison in both directions. A subset analysis showing 12.8 vs. 6.1 months of survival is statistically biased (patients had to survive long enough to cross over) and the FDA will ignore it. The honest read: the drug’s true survival effect is currently **unknown**, and the analysis that would answer it — a crossover-adjusted survival calculation — is expected in the full dataset at the ESMO conference around October 24.

Two things the original thesis claimed are dead. First, “the market carries the pipeline for free”: at \$2.15 on ~187 million shares, the company is worth ~\$402M against ~\$180M cash, so the market is already paying ~\$222M for the drug portfolio. Second, “a binary resolves in ~7 weeks”: the guided Q3 “FDA feedback” is a private meeting whose minutes are never published — bad news would be silently absorbed into schedule slippage, not announced. The real public decision points are the ESMO data, then whether a BLA gets filed by year-end, then a likely FDA decision date in second-half 2027.

The company says its cash lasts into 2028 (~\$180M vs. ~\$64–70M/yr spend), but it funds itself by issuing stock — share count grew ~35% in the past year.

What the market believes

The stock is down 69% from its 52-week high of \$6.88 (the collapse followed the April survival miss) and has bounced 34% off the \$1.61 low. At ~\$222M above cash, the market treats tovecimig as a long shot with real residual value — neither priced for approval nor priced at zero. A new 13G filed August 7 turned out to be State Street at 5.5% — index-fund plumbing, **not** evidence that active buyers are re-

rating the stock (our red bench initially misread this; see table). Next earnings ~November 5, unconfirmed. Source: [Q2 2026 results release](#); trial design at [ClinicalTrials.gov NCT05506943](#).

Why we might have edge

- **The crossover-adjusted survival number is the whole game, and it isn't public yet.** Few investors in a thinly covered ~\$400M name model the difference between the biased subset analysis and a proper adjusted analysis. If ESMO shows a legitimate adjusted survival benefit, the regulatory case strengthens materially and we'd know exactly why.
- **Silence is readable.** Because FDA meeting feedback is private, a BLA that quietly fails to appear by year-end is the disclosure of bad feedback. We've encoded this as a tripwire; most holders will just experience drift.
- **Precedent work cuts both ways and is genuinely open.** All three approved biliary-tract-cancer drugs (pemigatinib, futibatinib, zanidatamab) went through on *accelerated* approval with single-arm response rates of 36–42%. Compass has a lower response rate but a *randomized* package — a stronger evidence type per point. Nobody has cleanly priced which matters more.

Why it might be priced in

- \$222M above cash already pays for a meaningful probability of success; the “cheap option” framing was arithmetic error on our side, now corrected.
- The null overall-survival result is fully public since April; everyone can see the ESMO calendar too.
- The blue bench rejected red's claim that the stock is “fairly priced” as *unproven in either direction* — no valuation work supports it. We genuinely do not know whether \$222M is cheap or expensive for this package, which is itself a reason not to own it yet.
- Downside asymmetry of information: because bad FDA feedback stays private, holders learn bad news last, via drift and slippage.

What we checked ourselves

Claim	How checked	Found	Confirmed?
Thesis share count 180.09M	Q2 release EPS share line	186.8M weighted-average — our original thesis was stale	Refuted (our error)
“Pipeline carried at roughly zero”	Arithmetic: $\$2.15 \times$ 186.8M – \$180M cash	~\$222M enterprise value — market pays substantially for the pipeline	Refuted (our error)
Aug-7 13G = active buyer re-rating (red bench leg)	Blue bench pulled the filer identity	State Street, 5.5%, index custodian — mechanical flow. Red cited evidence it never verified	Overtaken (bench error)
Share count mechanism (186.8M vs ~181M implied by 13G)	State Street's 5.5% ÷ shares held	Gap consistent with pre-funded warrants in the basic share count; ~187M is the right economic basis	Plausible, mechanism unverified

Claim	How checked	Found	Confirmed?
Subset survival (12.8 vs 6.1 mo) is usable evidence	Trial design review vs. NCT05506943	Immortal-time bias; exploratory; FDA-inert. But red overreached: crossover also drags the <i>overall</i> comparison toward null, so HR 1.05 is uninformative, not damning	Confirmed (with symmetry fix to red)
“FDA feedback resolves the trade by Sept 30”	Operative language in the Q2 release	Feedback is a private meeting; no disclosure obligation exists. Nothing tradeable resolves by 9/30	Refuted
“Fairly-priced regulatory lottery” (red’s conclusion)	Blue bench audit	Zero valuation work behind the label; rejected as unproven either direction	Rejected (bench error)
Dilution 138.3M → 186.8M shares in 12 months	Q2 release year-over-year comparison	Confirmed — but the raise <i>predates</i> the April crash, so “no rescue dilution at the lows” survives	Confirmed
Runway into 2028	\$180M cash ÷ ~\$64M/yr burn ≈ 2.8 yrs	Consistent with management’s guide, which is an unaudited claim; spend is rising (G&A +59%)	Confirmed on the math only
Pre-funded warrants / full capital structure	EDGAR 10-Q equity note	HTTP 403 on both benches — infrastructure-wide outage, not absence of evidence	Unverified — open coverage gap
Approval precedent in this cancer	All three prior BTC approvals reviewed	All accelerated, single-arm, ORR 36–42%; randomized ORR+PFS package is a different animal	Checked; question stays open
Competitor-trial omission, lockups, disclosure consistency across venues, runway red flags	Standard detector sweep, both benches	Nothing fired; note response rate drifted 17.1% → 18.0% between venues, disclosed in both — recheck at ESMO	Confirmed clean

PROPOSED ENTRY BANDS

The court’s answer is **no entry at any price today** — the near catalyst can’t be traded and the drug’s value is unresolvable until new data. These are the **reopen bands**, from the benches’ own math:

- **Evidence reopen — ESMO, ~Oct 24, 2026:** if the full dataset shows a *crossover-adjusted* survival benefit (RPSFT/IPCW-type analysis, positive), escalate immediately to a starter-position court. No size is pre-authorized; the court sets it then.
- **Event reopen — BLA filed and accepted (60-day window):** re-run the court with the trade re-framed around the 2027 FDA decision date.
- **Price reopen — below ~\$1.15:** cash is ~\$0.96/share ($\approx \$180\text{M} \div 186.8\text{M}$), so under ~\$1.15 the enterprise value falls below ~\$35M and the “paying almost nothing for the drug” claim — false at \$2.15 — becomes true. Re-run the court rather than buy blind: the same level could mean leaked bad feedback.
- **Kill condition — no BLA filing by Dec 31, 2026:** per the court’s opacity finding, silent slippage past year-end is how bad FDA feedback shows up in public. Treat it as confirmation and

close the file.

- No adds, exits, or trims apply — we hold nothing and have no resting orders.

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 1.15 (deck-provisional: EV falls under ~\$35M vs ~\$0.96/sh cash — the ‘pipeline for almost nothing’ claim refuted at \$2.15 beco)
- filing watch: 8-K until 2027-02-05 (deck-provisional: BLA submission/acceptance or any FDA-feedback disclosure — the only public resolution of the private Q)
- dated pack CMPX|2026-10-24: CMPX: ESMO full COMPANION-002 dataset incl. crossover-adjusted OS; if positive, escalate to starter court (date confirmed=False)
- dated pack CMPX|2026-11-05: CMPX: Q3 2026 earnings (vendor-derived, not company-confirmed) (date confirmed=False)
- dated pack CMPX|2026-12-31: CMPX: BLA file/no-file deadline — silence past year-end = bad FDA feedback silently absorbed; close the file (date confirmed=False)

What remains unverified

- **Capital structure.** The 10-Q equity note returned HTTP 403 to both benches (site-wide outage this run). Pre-funded warrants are inferred from the 186.8M-vs-181M share-count gap, not read from the filing. This is the same failure mode that burned us on TENX.
- **The crossover-adjusted survival result** — the single most decisive datum — does not exist publicly yet.
- **Whether the FDA meeting has occurred, and what was said.** By design, we may never see this directly.
- **The ESMO date (Oct 24) and the Nov 5 earnings date** — both from secondary sources, neither company-confirmed.
- **“Cash into 2028”** — management’s claim; our burn math is consistent but the guide is unaudited and spend is rising.
- **The biostatistics findings** (immortal-time bias, crossover dilution) — sound inference by both benches, but reasoned without a dedicated statistical tool; the ESMO adjusted analysis is the real test.
- **Whether \$222M above cash is cheap or expensive** — neither bench produced a defensible probability-weighted valuation; that work is a precondition for any future entry court.

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Deck complete. The proposed verdict is no-position with three dated reopen gates (ESMO ~Oct 24, BLA file/acceptance, sub-\$1.15 price) and a Dec 31 kill condition. The two bench errors are stated in the table: red misattributed the State Street 13G to active re-rating, and red's "fairly priced" label was rejected as unproven; our own original thesis carried a stale share count that understated the market cap. Reminder: no sensors are currently armed (flagged in the deck as a gap), and the dashboard/ledger closing step still needs to run — I couldn't execute it from this session.